

Retail banks sharpen arrears analytics as payment stress persists

By Tom Head | 09 May 2020



Credit risk analysts discussing portfolio data

Retail banks are revisiting early-warning indicators as debit-order stress remains visible in consumer portfolios.

Comparable industry data for May 2020 showed 2,780 loan-payment records, with a failure rate of 6.3% and 50 insufficient-funds cases. Risk teams said the figures were not alarming on their own, but became more useful when combined with customer cash-flow and account behaviour.

"The important distinction is between affordability stress and processing noise," said a Johannesburg-based credit-risk consultant. "A failed debit after a salary delay is not the same as a customer whose account balance has been deteriorating for three months."

Analysts said home loan portfolios remain sensitive to interest-rate expectations, especially where customers have limited savings buffers. Some banks are also using transaction behaviour to decide which customers should receive proactive support before a formal arrears event.